

Bajaj Finance Ltd | BAJFINANCE | Financials

Bajaj Finance is mainly engaged in the business of lending. BFL has a diversified lending portfolio across retail, SME and commercial customers with a significant presence in urban and rural India. It also accepts public and corporate deposits and offers variety of financial services products to its customers.

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
18.84%	4.17%	26.29%	3.82	24.35%	-79931.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	9970.0	3250.0	1836.0	2867.0%	33.0
2018-03	12746.0	4115.0	2496.0	3935.0%	43.0
2019-03	18487.0	5454.0	3995.0	6310.0%	69.0
2020-03	26374.0	9159.0	5264.0	7608.0%	87.0
2021-03	26673.0	10839.0	4420.0	6314.0%	73.0
2022-03	31641.0	11880.0	7028.0	9906.0%	116.0
2023-03	41411.0	12693.0	11508.0	16018.0%	190.0
2024-03	54972.0	16099.0	14451.0	19987.0%	233.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	20.28%	4.38%	5.16	-34441.0	nan%
2020-03	16.28%	5.47%	4.02	-33170.0	37.37%
2021-03	11.97%	6.24%	3.57	-1236.0	29.59%
2022-03	16.08%	5.5%	3.78	-30743.0	25.98%
2023-03	21.17%	4.5%	3.99	-52506.0	26.58%
2024-03	18.84%	4.17%	3.82	-79931.0	24.35%

Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	115.0	19582.0	101588.0	124233.0
2020-03	120.0	32208.0	129806.0	164391.0
2021-03	120.0	36798.0	131634.0	171470.0
2022-03	121.0	43592.0	165232.0	212506.0
2023-03	121.0	54251.0	216690.0	275226.0
2024-03	124.0	76572.0	293346.0	375742.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	-37090.0	6347.0	32275.0	1532.0
2023-03	-42112.0	-10394.0	50675.0	-1831.0
2024-03	-72760.0	-7171.0	82415.0	2484.0

Capital Allocation Pattern

Growth Funded by Debt

Strengths

- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing

Concerns

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital